BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

CA(CAA)- 89 (PB) 2018

Connected with

COMPANY PETITION NO. (CAA)-74 (PB) 2018

Judgment delivered on: 20.02.2019.

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR,

Hon'ble President

DR. DEEPTI MUKESH,

Hon'ble Member (Judicial)

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In the matter of

SCHEME OF AMALGAMATION

of

Albite Developers Private Limited

..... Petitioner No. 1/ Transferor Company No.1

And

Kunzite Impex Private Limited

..... Petitioner No. 2/ Transferor Company No. 2

And

Peridot Constructions Private Limited

..... Petitioner No. 3/ Transferor Company No. 3

And

Sabaoth Conbuild Private Limited

..... Petitioner No. 4/ Transferor Company No. 4

WITH

Emerald Garments Private Limited

..... Petitioner No. 5/ Transferee Company

For Petitioners: Mr. Manoj Kumar Garg, Advocate

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint petition has been filed by the Petitioner Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules,

2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of all the Transferor Companies into Transferee Company.

2. A perusal of the petition discloses that initially the First Motion joint application seeking direction for dispensing/convening the meeting of Shareholders and Creditors was filed before this Bench vide CA (CAA) No. 89 (PB) 2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity Shareholders, secured creditors and unsecured creditors of all the Petitioner Companies were dispensed with, vide order dated 18.05.2018 passed by this Bench.

3. On 04.06.2018 the Petitioners were directed to carry out publication in the English Daily 'Business Standard' (Delhi Edition) as well as in Hindi Daily 'Business Standard' (Delhi Edition). In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the official liquidator, the Income Tax Department and to the other relevant sectoral regulators.

4. It is seen that the Petitioners have filed an affidavit dated 05.07.2018 affirming compliance of the order passed by the Tribunal dated 04.06.2018. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the English Daily 'Business Standard' (Delhi Edition) on 16.06.2018 as well as in Hindi Daily 'Business Standard' (Delhi Edition) again on 16.06.2018 in relation to the date of hearing of the petition. Further, the petitioners have also affirmed that the copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been placed on record.

5. The Regional Director has filed its representation on 04.12.2018, whereas no material objection has been raised by the Regional Director against the Scheme. The only observation is that with reference to clause 10.6 r/w 12 of the Scheme, the transferee company be directed to comply with the provisions of Section 232 (3)(i) of the Companies Act, 2013. The Registrar of Companies has also filed no adverse observations against the proposed Scheme vide letter dated 11.07.2018.

6. The Official Liquidator has filed its report dated 28.11.2018 wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

7. The Department of Income Tax has filed its representations in respect of Petitioner Company No.4 on 10.07.2018 and in respect of rest of the petitioner companies on 20.12.2018 and submitted no objection against the proposed amalgamation. Besides, Learned Counsel for the Department Of Income Tax has submitted at the time of oral hearing on 19.12.2018 that they have no observations against the petitioner companies. The same fact has been duly recorded in the order dated 19.12.2018 passed by this Bench.

8. However, in order to protect the interest of the revenue it is made clear that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues if any from petitioner companies, including imposition of penalties etc. as provided in law.

9. In the joint petition it has been affirmed that no proceedings under Section 210 to 227 of the Companies Act, 2013 are pending against the Petitioner Companies.

10. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

11. It has been also affirmed by the petitioner companies that the Scheme is in interest of both the petitioner companies, their shareholders, creditors, employees and all concerned.

12. In view of the foregoing, upon considering the approval accorded by the members and creditors of both the Petitioner companies to the proposed Scheme, and the affidavit filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and no objection of Department of Income Tax, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The

Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

13. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

14. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

15. **THIS TRIBUNAL DO FURTHER ORDER**

- That all the Transferor Companies shall stand dissolved without following the process of winding-up; and
- That all the property, rights and powers of all the transferor Companies, be transferred without further act or deed, to the

transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.

- That all the liabilities and duties of all the transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and
- That all proceedings now pending by or against all the transferor Companies, be continued by or against the transferee company; and
- That all the employees of all the transferor companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the respective transferor company on the said date.
- That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered all the transferor companies shall be dissolved and the Registrar of Company shall place all documents

relating to all the transferor companies registered with him on the file kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

- That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR)

PRESIDENT

Sd/-

20/02/2019

(DEEPTI MUKESH)

MEMBER (JUDICIAL)

NOTE

Pronounced today in open court in pursuance of power under Rule 151 of NCLT Rules, 2016 as Hon'ble President, Chief Justice (Rtd.) Sh. M.M. Kumar is not holding court today.

Sd/-

(Nirmala Vincent)
Court Officer